Rewriting an AML Onboarding Clause

Technical Writing Sample | Legal & Compliance

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Sample project. A customer-onboarding clause from an anti-money-laundering (AML) policy, reworked from dense legal prose into a procedure a non-lawyer onboarding officer can actually follow. *Concept piece, created to demonstrate document-rewrite skill.*

The Original

In accordance with the applicable provisions of the relevant anti-money laundering and counter-terrorist financing regulations, and in furtherance of the Company's obligations thereunder, it is required that, prior to the establishment of any business relationship and/or the execution of any occasional transaction exceeding the prescribed threshold, customer due diligence measures shall be undertaken by the Company, which measures shall include, but not be limited to, the identification of the customer and the verification of the customer's identity on the basis of documents, data or information obtained from a reliable and independent source, and, where applicable, the identification of the beneficial owner and the taking of reasonable measures to verify the identity of such beneficial owner such that the Company is satisfied that it knows who the beneficial owner is; and in the event that such measures cannot be satisfactorily concluded, no account shall be opened, no business relationship shall be established and no transaction shall be carried out, and consideration shall be given as to whether disclosure to the relevant competent authority is warranted.

The Diagnostic

The passive voice ("measures shall be undertaken," "consideration shall be given") hides who is responsible for each action, which is itself a compliance risk, because an obligation no one owns is an obligation no one performs. And a single clause this long buries five separate duties and two hard stop-rules inside nested sub-clauses, so the officer onboarding a customer cannot see what to do, in what order, or when to stop.

The Rewrite

Customer Onboarding: Due Diligence (CDD)

Before you open an account or process a transaction above [threshold], complete these checks.

1. **Identify the customer.** Collect their full name, date of birth, residential address, and ID number.

2. **Verify their identity.** Confirm those details against a reliable, independent source (government-issued ID, [verification database]).

3. **Identify the beneficial owner** (if the customer is a company or is acting for someone else). Take reasonable steps to confirm who ultimately owns or controls the customer.

Stop Rules

If	Then
You cannot complete the checks above	Do not open the account, start the relationship, or process the transaction.
The customer's conduct or refusal looks suspicious	Escalate to the MLRO and consider filing a report with [competent authority].

Ongoing Monitoring (for the life of the relationship)

- Review transactions to confirm they match what you know of the customer and their risk profile.
- Keep customer records current.
- Apply enhanced due diligence (EDD) for higher-risk cases, including politically exposed persons (PEPs).

Note: bracketed fields ([threshold], [verification database], [competent authority]) are left as placeholders on purpose, because these values are jurisdiction-specific and set by each firm's compliance framework.